

12 June 2026

## Taiwan Technology

Reuters 2455.TW  
Bloomberg 2455 TT

Priced on 12 June 2026  
Taiwan Wtd @ 44,169.0

12M hi/lo NT\$444.00/114.50

12M price target NT\$465.00  
±% potential +32%

Shares in issue 184.9m  
Free float (est.) 88.2%

Market cap US\$2.1bn

3M ADV US\$124.7m

Foreign s'holding 25.0%

### Major shareholders

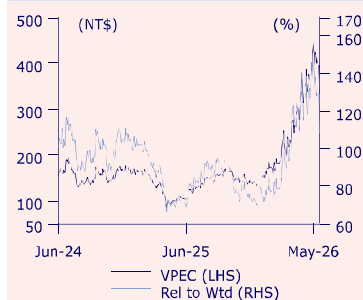
New Labour Pension Fund 5.6%  
Vanguard Group 4.1%

### SinoPac analysts:

Sam Kao, SinoPac  
Jayden Lin, SinoPac

## Stock performance (%)

|            | 1M     | 3M   | 12M   |
|------------|--------|------|-------|
| Absolute   | (11.1) | 44.5 | 168.9 |
| Relative   | (13.9) | 14.2 | 40.0  |
| Abs (US\$) | (11.3) | 45.9 | 151.1 |



Source: Bloomberg

## Epiwafer price hikes

### Double-digit increases for GaAs and InP from June

VPEC announced a price hike on epiwafers, with both GaAs and InP to see double-digit increases from June. This is the second time it has raised prices this quarter, which strengthens our confidence in a better margin recovery ahead. We still expect substrate supply to improve in coming quarters, with sales to regain momentum from June, followed by double-digit sequential growth in 3Q26. We remain positive on VPEC due to share gain opportunities in EML/CW lasers into next year and structural margin improvement, and our 2027/28 EPS forecasts are 36%/26% above consensus. Maintain Outperform with TP of NT\$465.

- ❑ **VPEC announces epiwafer price hike:** Prices for both GaAs and InP epiwafers will increase by double digits from June (with greater hikes for InP) to reflect higher input costs. This is the second time VPEC has raised epiwafer prices this quarter, which strengthens our confidence in a better margin recovery from 2Q26.
- ❑ **Sales momentum to pick up from June:** While QTD sales are tracking slightly behind our forecast of +10% QoQ due to substrate shortages, we believe momentum will pick up from June onwards, followed by double-digit QoQ growth in 3Q26, backed by additional MOCVD capacity, better substrate supply and stronger backlog orders.
- ❑ **Key beneficiary of InP shortages:** VPEC is in a unique position as a third-party epiwafer house, which allows it to benefit from the growing outsourcing trend among global optical chip leaders, and it is likely to gain 2-3 new clients for EML/CW lasers in early 2027. We expect VPEC to outperform the sector growth in coming years.
- ❑ **Maintain Outperform:** Our 2027/28 EPS forecasts are 36%/26% above consensus as we expect stronger optical growth with better margins. Trading at 28x 27SP EPS versus the sector average of 48x, we see better risk/reward in VPEC's share price, and expect the improved sales momentum from June to help it catch up. Our target price of NT\$465 is based on 40x 27SP PE and we reiterate an Outperform rating.

## Financials

| Year to 31 December       | 24A   | 25A    | 26SP  | 27SP  | 28SP  |
|---------------------------|-------|--------|-------|-------|-------|
| Revenue (NT\$m)           | 3,241 | 3,380  | 4,627 | 7,497 | 9,943 |
| Net profit (NT\$m)        | 671   | 548    | 1,136 | 2,222 | 3,192 |
| EPS (NT\$)                | 3.63  | 2.97   | 6.04  | 11.62 | 16.69 |
| SP/consensus (11) (EPS%)  | -     | -      | 116   | 136   | 126   |
| EPS growth (% YoY)        | 49.0  | (18.2) | 103.6 | 92.3  | 43.6  |
| PE (x)                    | 97.0  | 118.6  | 58.3  | 30.3  | 21.1  |
| Dividend yield (%)        | 0.9   | 0.8    | 1.5   | 3.0   | 4.3   |
| FCF yield (%)             | 1.6   | 0.4    | 1.3   | 1.9   | 3.4   |
| PB (x)                    | 19.5  | 19.7   | 16.8  | 12.9  | 10.5  |
| ROE (%)                   | 20.8  | 16.5   | 31.1  | 48.2  | 55.0  |
| Net cash per share (NT\$) | 3.66  | 1.87   | 3.88  | 5.44  | 7.26  |

Source: SinoPac



Figure 1

| <b>Quarterly P&amp;L</b> |       |        |        |        |        |        |        |        |        |        |        |        |
|--------------------------|-------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|--------|
| (NT\$m)                  | 1Q26  | 2Q26SP | 3Q26SP | 4Q26SP | 1Q27SP | 2Q27SP | 3Q27SP | 4Q27SP | 2025   | 2026SP | 2027SP | 2028SP |
| Sales                    | 959   | 1,077  | 1,248  | 1,343  | 1,504  | 1,989  | 1,989  | 2,014  | 3,380  | 4,627  | 7,497  | 9,943  |
| Gross profit             | 365   | 446    | 540    | 582    | 653    | 856    | 887    | 915    | 1,220  | 1,933  | 3,310  | 4,533  |
| Opex                     | 139   | 140    | 140    | 140    | 150    | 150    | 150    | 150    | 550    | 559    | 600    | 640    |
| Operating profit         | 227   | 306    | 400    | 442    | 503    | 706    | 737    | 765    | 669    | 1,375  | 2,710  | 3,893  |
| Non-OP                   | 17    | 0      | 0      | 0      | 0      | 0      | 0      | 0      | (2)    | 17     | 0      | 0      |
| Pretax profit            | 244   | 306    | 400    | 442    | 503    | 706    | 737    | 765    | 667    | 1,391  | 2,710  | 3,893  |
| Net profit               | 195   | 251    | 328    | 363    | 412    | 579    | 604    | 627    | 548    | 1,136  | 2,222  | 3,192  |
| EPS (NT\$)               | 1.06  | 1.31   | 1.71   | 1.90   | 2.16   | 3.03   | 3.16   | 3.28   | 2.97   | 5.98   | 11.62  | 16.69  |
| <b>Growth</b>            |       |        |        |        |        |        |        |        |        |        |        |        |
| Sales QoQ                | 0%    | 12%    | 16%    | 8%     | 12%    | 32%    | 0%     | 1%     |        |        |        |        |
| Sales YoY                | 21%   | 51%    | 37%    | 40%    | 57%    | 85%    | 59%    | 50%    | 4%     | 37%    | 62%    | 33%    |
| EPS QoQ                  | 1%    | 24%    | 31%    | 11%    | 14%    | 40%    | 4%     | 4%     |        |        |        |        |
| EPS YoY                  | 25%   | 556%   | 99%    | 81%    | 103%   | 131%   | 84%    | 73%    | (18%)  | 102%   | 94%    | 44%    |
| <b>Margin</b>            |       |        |        |        |        |        |        |        |        |        |        |        |
| Gross margin             | 38.1% | 41.4%  | 43.3%  | 43.4%  | 43.4%  | 43.0%  | 44.6%  | 45.4%  | 36.1%  | 41.8%  | 44.2%  | 45.6%  |
| Opex                     | 14.5% | 13.0%  | 11.2%  | 10.4%  | 10.0%  | 7.5%   | 7.5%   | 7.4%   | 16.3%  | 12.1%  | 8.0%   | 6.4%   |
| OP margin                | 23.6% | 28.4%  | 32.0%  | 32.9%  | 33.4%  | 35.5%  | 37.0%  | 38.0%  | 19.8%  | 29.7%  | 36.2%  | 39.2%  |
| Non-OP                   | 1.8%  | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | 0.0%   | (0.1%) | 0.4%   | 0.0%   | 0.0%   |
| Net margin               | 20.3% | 23.3%  | 26.3%  | 27.0%  | 27.4%  | 29.1%  | 30.4%  | 31.1%  | 16.2%  | 24.6%  | 29.6%  | 32.1%  |

Source: SinoPac

Figure 2

| <b>Sales mix assumptions</b> |              |              |              |              |
|------------------------------|--------------|--------------|--------------|--------------|
| Sales (NT\$m)                | 2025         | 2026SP       | 2027SP       | 2028SP       |
| Micro-electronics            | 2,543        | 2,756        | 2,753        | 2,753        |
| Optical                      | 837          | 1,871        | 4,744        | 7,190        |
| <b>Total</b>                 | <b>3,380</b> | <b>4,627</b> | <b>7,497</b> | <b>9,943</b> |
| YoY (%)                      | 2025         | 2026SP       | 2027SP       | 2028SP       |
| Micro-electronics            | 0%           | 8%           | 0%           | 0%           |
| Optical                      | 20%          | 124%         | 154%         | 52%          |
| <b>Total</b>                 | <b>4%</b>    | <b>37%</b>   | <b>62%</b>   | <b>33%</b>   |
| Sales mix (%)                | 2025         | 2026SP       | 2027SP       | 2028SP       |
| Micro-electronics            | 75%          | 60%          | 37%          | 28%          |
| Optical                      | 25%          | 40%          | 63%          | 72%          |
| <b>Total</b>                 | <b>100%</b>  | <b>100%</b>  | <b>100%</b>  | <b>100%</b>  |
| Gross margin (%)             | 2025         | 2026SP       | 2027SP       | 2028SP       |
| Micro-electronics            | 33%          | 35%          | 34%          | 34%          |
| Optical                      | 50%          | 51%          | 50%          | 50%          |
| <b>Total</b>                 | <b>36%</b>   | <b>42%</b>   | <b>44%</b>   | <b>46%</b>   |

Source: SinoPac

Foreign investors hold 25%

Figure 3

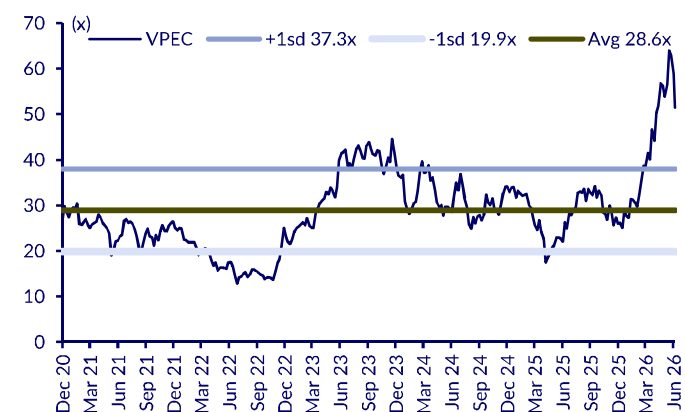
QFII holdings



Source: SinoPac

Figure 4

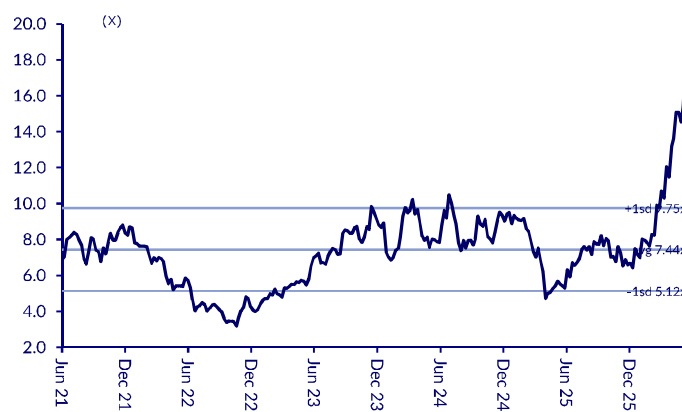
Forward PE



Source: SinoPac

Figure 5

Forward PB



Source: SinoPac

## Valuation details

We use PE as our valuation methodology as we believe the market will primarily focus on the earnings growth outlook, which is better reflected with PE metrics. The stock has traded largely between -1sd (20x) and +1sd (40x) for the past seven years (after the structural rerating since 2017 on optical and China localisation growth) based on each phase of the industry cycle. We assign an upcycle PE multiple of 40x to reflect a stronger optical outlook.

## Investment risks

1) Slower-than-expected rollout of 1.6T PD products; 2) weaker-than-expected smartphone sell-through; 3) consumer optical projects further delayed into 2027.



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## Companies mentioned

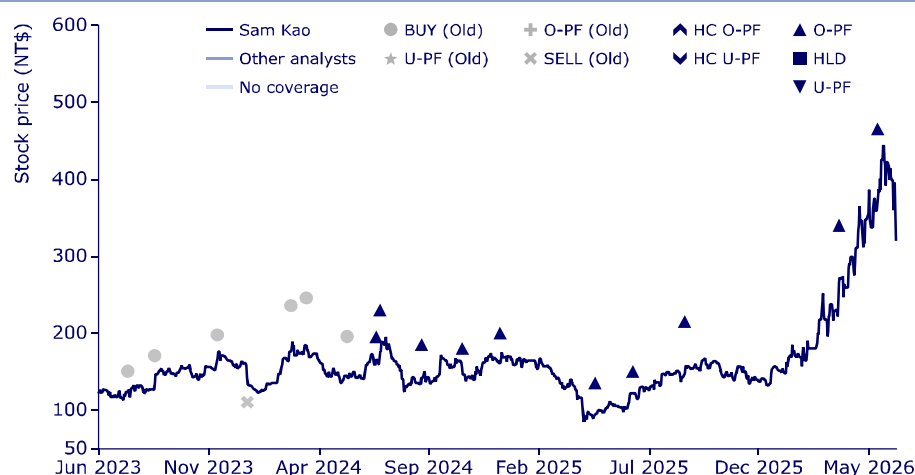
VPEC (2455 TT - NT\$352.00 - OUTPERFORM)

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### Recommendation history of Visual Photonics Epitaxy Co 2455 TT



| Date        | Rec  | Target | Date        | Rec  | Target |
|-------------|------|--------|-------------|------|--------|
| 17 May 2026 | O-PF | 465.00 | 28 Jun 2024 | O-PF | 195.00 |
| 25 Mar 2026 | O-PF | 340.00 | 19 May 2024 | BUY  | 195.00 |
| 25 Aug 2025 | O-PF | 215.00 | 24 Mar 2024 | BUY  | 245.00 |
| 15 Jun 2025 | O-PF | 150.00 | 03 Mar 2024 | BUY  | 235.00 |
| 24 Apr 2025 | O-PF | 135.00 | 03 Jan 2024 | SELL | 110.00 |
| 15 Dec 2024 | O-PF | 200.00 | 23 Nov 2023 | BUY  | 197.00 |
| 24 Oct 2024 | O-PF | 180.00 | 29 Aug 2023 | BUY  | 170.00 |
| 29 Aug 2024 | O-PF | 185.00 | 23 Jul 2023 | BUY  | 150.00 |
| 03 Jul 2024 | O-PF | 230.00 |             |      |        |

Note: At 6pm (HKT) on 28 June 2024, we changed our ratings to Outperform (O-PF), Hold (HLD) and Underperform (U-PF); and on 16 December 2024, we added the ratings: High-Conviction Outperform (HC O-PF) and High-Conviction Underperform (HC U-PF). Please see Key to CLSA/SinoPac investment rankings below for details. Source: CLSA, SinoPac

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